CFP® Certification Master Blueprint: Exam Architecture & High-Yield Rules

A visual study manual distilling the 7 modules of General Principles, TVM, and Education Planning into pure, testable components.

Definitions. Thresholds. Formulas. Exceptions.

The 7-Step Financial Planning Process

Definition: A collaborative, cyclical process that helps maximize a client's potential for meeting life goals by integrating relevant elements of their personal and financial circumstances.

Memorize the sequence:

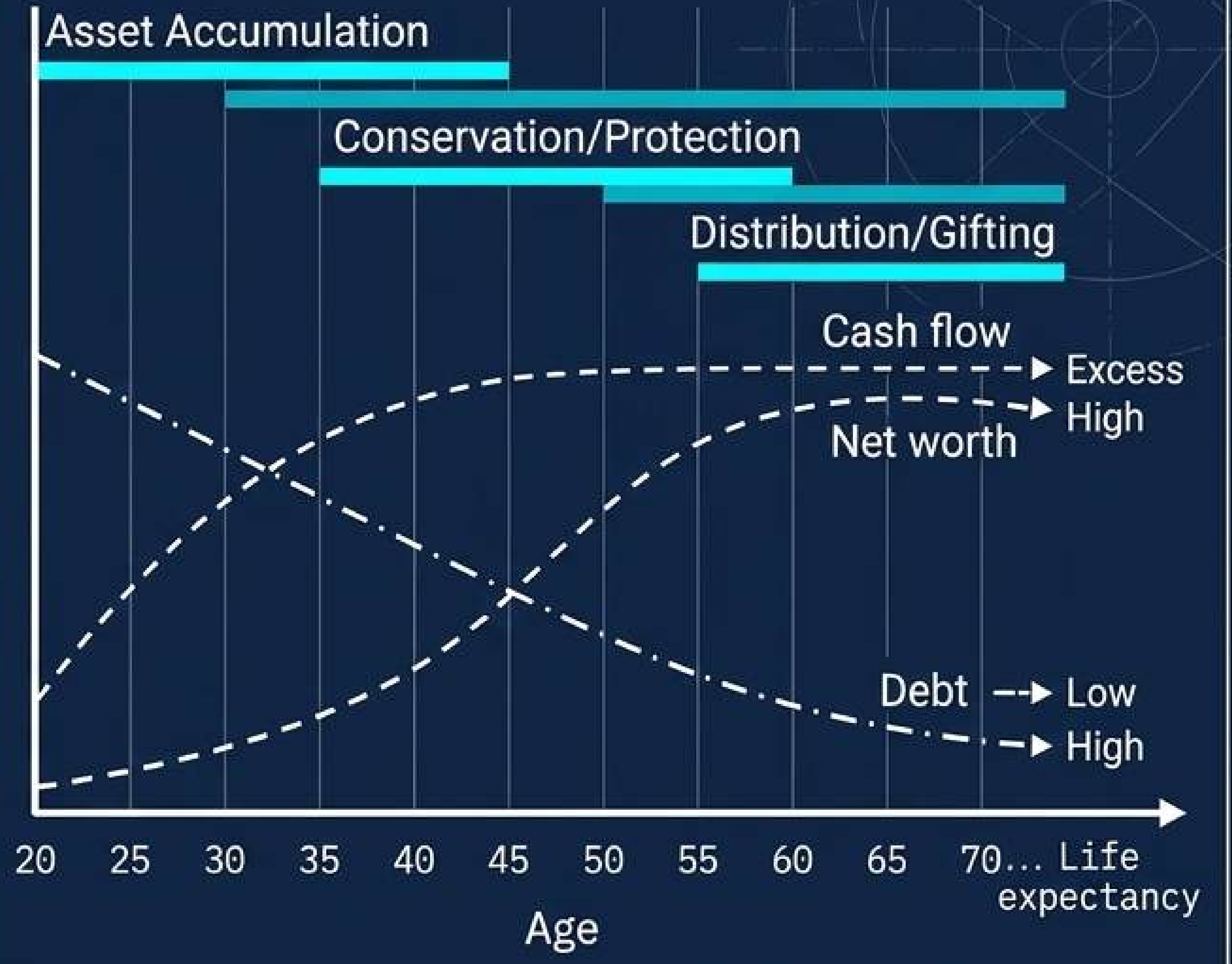
- **U**mbrellas (Understand)
- **I**n (Identify)
- **A** (Analyze)
- **D**ownpour (Develop)
- **P**revent (Present)
- **I**mmense (Implement)
- **M**ess (Monitor)

Red Flag: If a client refuses planning when required, the planner must restrict scope, terminate the engagement, or provide advice only if planning isn't strictly required.

The Financial Life Cycle

Definition: The three contextual phases of a client's financial life, driven by age, marital status, dependents, and income level.

- **Accumulation Phase:** Age 20-45. High debt, low net worth, low cash flow.
- **Conservation Phase:** Age 45-60. Decreasing debt, increasing net worth, peak cash flow.
- **Distribution Phase:** Age 60+. Low debt, high net worth, cash flow excess. Focus on legacy.



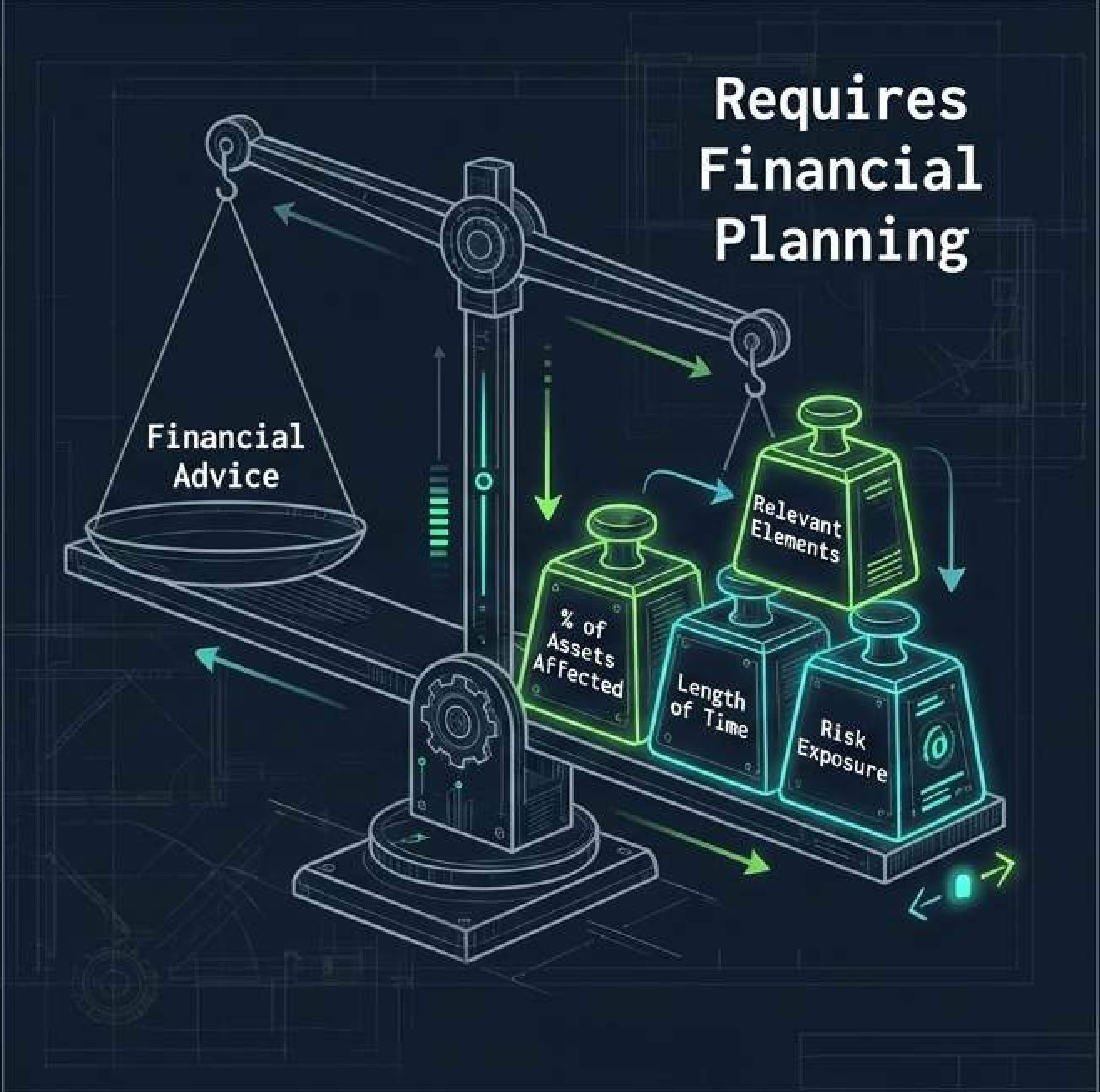
Exception: Phases can overlap and are indeterminate. A 60-year-old buying a car for a child is momentarily exhibiting Accumulation-phase behaviors within the Distribution phase.

Advice vs. Planning: The Integration Factors

Definition: The threshold where standard financial advice transforms into a formal Financial Planning engagement requiring adherence to the Practice Standards.

Answer "YES" to any of these to trigger full planning requirements:

- Has the planner agreed to provide planning?
- Does the client reasonably believe planning is being provided?
- Does the advice affect 100% of the client's assets?



Red Flag: Merely executing a single stock trade for a client is Financial Advice, NOT Financial Planning.

Standard of Care Matrix: Suitability vs. Fiduciary

Definition: The legal and ethical frameworks dictating how financial recommendations are formulated and disclosed.

Fiduciary Duty requires:

- Duty of Loyalty
- Duty of Care
- Duty to Follow Client Instructions

		Suitability Standard	Fiduciary Standard
1	**Approach**	**Product Driven** (Rules-based)	**Solution Driven** (Principle-based)
2	**Benchmark**	Risk profile & time horizon	**Best interest of the client** & all relevant factors
3	**Disclosure**	Verbal	**Written**
4	**Regulators**	FINRA/States	SEC/States

Duty to Consult: A planner cannot fake expertise. If a recommendation involves complex, unfamiliar tax law, the Fiduciary standard **mandates consulting a specialist**.

Behavioral Finance: Cognitive Biases

Definition: Information-processing and belief-perseverance errors that cause irrational financial decision-making.

Distinguish Biases:

- **Cognitive:** Faulty logic, can be corrected with education.
- **Emotional:** Feelings-based, much harder to correct.

Framing Bias

Identical mathematical choices are made differently based solely on how the question is asked (e.g., 'Keep $1,500' vs 'Lose $500').

Recency Bias

Heavy weighting on recent events (e.g., Expecting a 2008-style crash tomorrow because of a minor dip today).

Illusion of Control

Believing personal actions can dictate outcomes of completely random events.

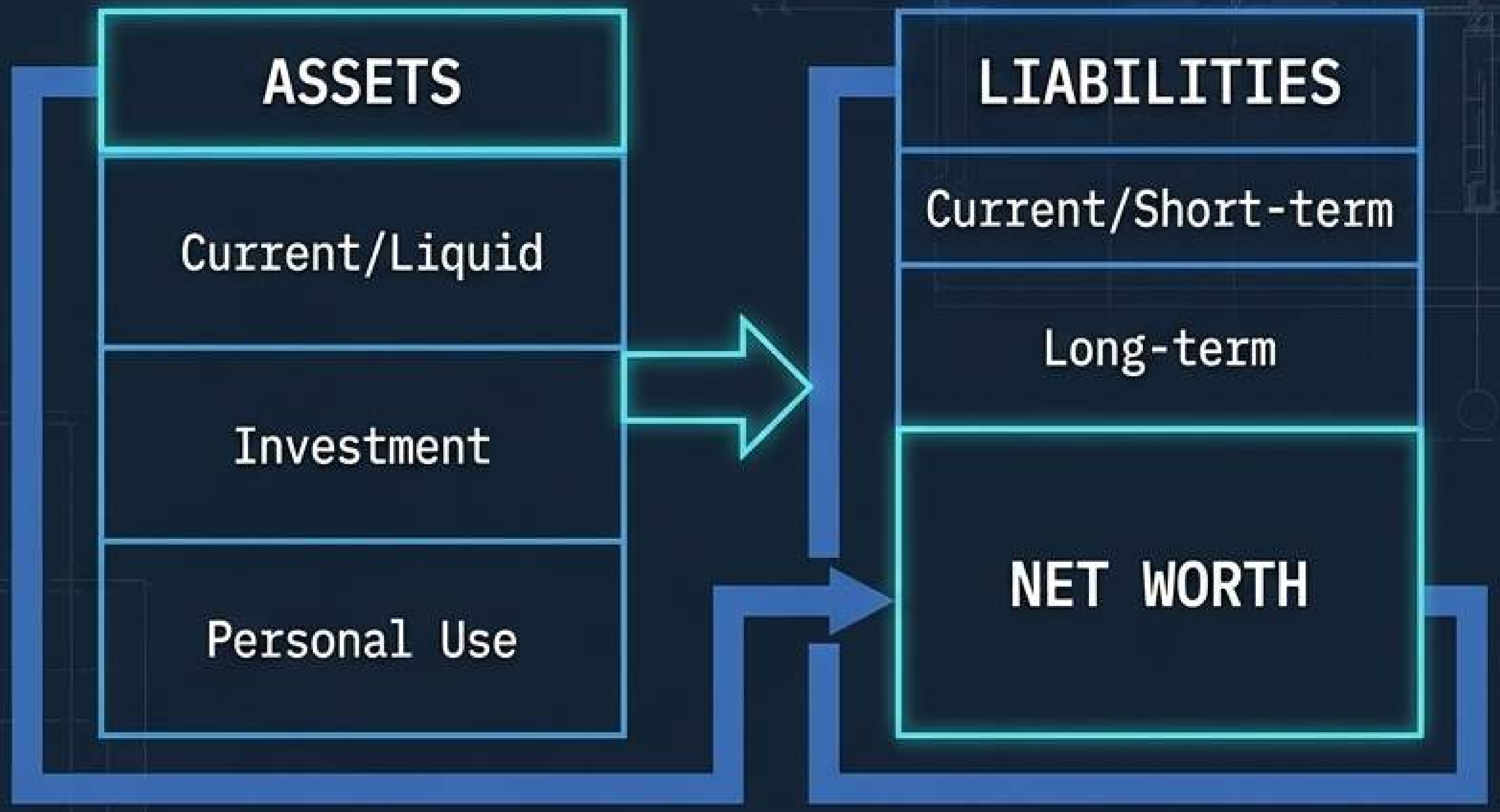
Red Flag: Look out for nonverbal behaviors! Planners must give equal importance to how clients act (body language) as to what they say when identifying biases.

The Statement of Financial Position

Definition: A "snapshot" presenting a client's assets, liabilities, and resulting net worth at a single, frozen point in time.

- **Current Assets** = Maturity under **1 year**.
- **Long-Term Liabilities** = Payoff longer than **1 year** (e.g., mortgage principal).

NET WORTH = ASSETS - LIABILITIES



Red Flag: Footnotes are integral! An impending inheritance or a pending lawsuit will not appear in the math, but must be documented in the footnotes to reflect true financial reality.

The Cash Flow Statement

Definition: A dynamic tracking of a client's cash inflows and expenditures across a specific period of time (e.g., monthly or annually).

Target Savings Ratio:

Allocate **at least 10%** of gross income to savings. "Pay yourself first."

EXPENSE SORTING ENGINE

Fixed / Nondiscretionary
Mortgage, auto loan, medical premiums.

Fixed / Discretionary
Club dues, premium cable TV.

Variable / Nondiscretionary
Groceries, electricity, utilities.

Variable / Discretionary
Vacations, dining out, gifts.

Red Flag: Employer contributions to a 401(k) count toward the **10%** savings ratio. Credit card balance reduction is classified as "consumer debt reduction," not a standard expense.

Diagnostic Dashboard: Debt Ratios

Definition: Standardized benchmark percentages used by lenders to assess a client's capacity to assume additional debt.

These ratios are mutually exclusive. If either benchmark is breached, the client is flagged as over-leveraged.

Housing Ratio 1 (Basic)

PITI
÷ Gross Monthly Income

Housing Ratio 2 (Broad)

(PITI + All recurring debt)
÷ Gross Monthly Income

Exception: Renters use a modified Ratio 1 calculation that excludes property tax and home insurance. High property taxes can single-handedly ruin a client's ratio even with a low mortgage principal.

Emergency Fund Thresholds

Definition: Highly liquid cash/equivalents set aside to offset unexpected catastrophic expenses without risking principal.

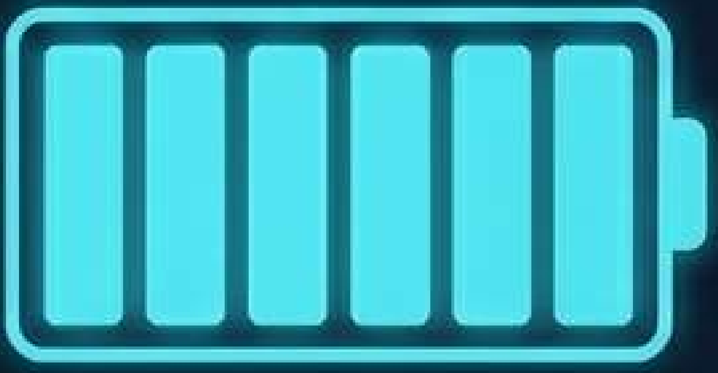
Permitted Vehicles:

- Checking, Savings, Money Market
- CDs with maturity < 90 days

3-Month Battery

For dual-income married couples, OR single clients with a massive secondary income source.

6-Month Battery



For single wage earners, OR married couples with only one employed spouse.

Red Flags: Exclude 1 month's living expenses from checking account calculations. Unsecured lines of credit/HELOCs are good backups but CANNOT serve as the primary emergency fund.

Economic Concepts: Price Level Changes

Definition: The macro-environmental shifts that directly impact TVM assumptions, purchasing power, and monetary policy.

Business Cycle Phases:

Expansion -> Peak -> Contraction -> Trough

Inflation

Prices rising. Purchasing power falling.

Deflation

Prices falling. Asset values dropping.

Disinflation

Prices still rising, but at a slower rate than before.

Stagflation

High inflation combined with high unemployment and stagnant economic growth.

Test Tip: In economic analysis test questions, assume ONLY ONE variable changes at a time while all others remain constant.

Consumer Protection: Bankruptcy Exceptions

Definition: Specific legal and financial obligations that survive personal bankruptcy and cannot be discharged.

The Red Flag List:

- Student loans and government loans.
- Child support and alimony obligations.
- Recent federal income taxes due.

Exception: Retirement accounts (like 401(k)s and traditional IRAs) are generally protected from creditors during bankruptcy, but the specific debts listed above will not be wiped away.

Time Value of Money: Master Keystroke Map

Definition: The mechanical application of compound interest logic to future/present value calculations using approved financial calculators.

The Variables:

N = Periods
I/YR = Interest Rate
    Enter as a whole number. e.g., 4% = 4
PV = Present Value
PMT = Payment
FV = Future Value

TERMINAL

HP10bII+

1, DOWNSHIFT, P/YR
DOWNSHIFT, C ALL
DOWNSHIFT, C ALL

TERMINAL

TI BAII Plus

2ND, P/Y, 1 ENTER, CE|C
2ND, CLR TVM
2ND, CLR TVM

Red Flag: The TI BAII Plus inherently uses cash flow signs. It returns a negative number for PV if calculating an upfront cost. Always clear TVM memory before starting a new problem!

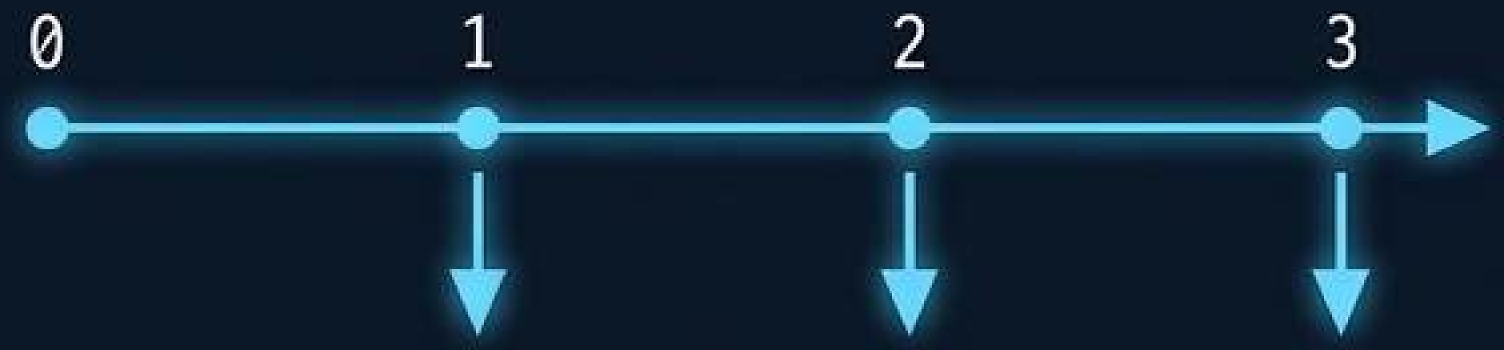
TVM: Annuities & Payment Timing

Definition: A series of equal, periodic cash flows (PMT) where the timing of the deposit/payment drastically changes the compounding math.

The Toggle Steps:

- **HP10bII+:** Toggle via DOWNSHIFT, BEG/END
- **TI BAII Plus:** Toggle via 2ND, BGN, 2ND, SET

Ordinary Annuity (END Mode)



(Used for mortgages, standard savings)

Annuity Due (BEG Mode)

(Used for tuition, rent, immediate investing)

Red Flag: If a question states '**starts today,**' '**beginning of the month,**' or involves funding a child's first day of college, the calculator **MUST** be forced into BEG mode.

The 3-Step Education TVM Engine

Definition: The chronological mathematical process required to calculate the exact savings needed today to fund a future inflated cost.

Example Calculation:

Return = 8%, Inflation = 6%

Adjusted Rate = [(1.08 / 1.06) - 1] x 100 = 1.8868%

Education Funding Timeline Flowchart

Step 1: INFLATE

PV (Cost Today) -> N (Years to College) -> FV (Cost at Year 1)

Step 2: ADJUST

FV becomes PMT. Apply Inflation-Adjusted Return Formula:
[(1+Return) / (1+Inflation) - 1] x 100.
Output = PV (Lump sum needed at start of college).
Note: Must be in BEG mode.

Step 3: INVEST

PV becomes FV target.
Calculate PMT (Monthly/Annual savings required today).

Mnemonic Rule:
Remember the sequence of rates: ‘Inflate, Adjust, Invest.’ Each step uses a completely different I/YR value.

Education Savings Vehicles: The Ultimate Matrix

A side-by-side technical comparison of the three primary tax-advantaged tools used to fund a minor's future education.

	Section 529	Coverdell (CESA)	UGMA/UTMA
Contribution Limits	State-dependent ($100k-$250k)	$2,000/yr per child	No limit.
Income Phase-outs	None	Yes	None.
Tax Treatment	Tax-free for qualified ed.	Tax-free for qualified ed.	"Kiddie Tax" applies to earnings.

Control Rules (Who controls at Age 18?):

- 529 = Account Owner
- CESA = Must be used by age 30
- UGMA = The Student

Red Flag:
529 Plans have a strict maximum limit of $10,000 per year when used for K-12 tuition. College expenses have no annual limit.

Deep Dive: Section 529 Plans (QTPs)

Definition: A Qualified Tuition Program offering tax-free earnings growth and withdrawals for qualifying education expenses, controlled exclusively by the donor.

The Numbers:

- K-12 Distributions limit: $10,000 tax-free per year.
- College Distributions limit: Unlimited for qualified expenses.
- Contributions count against the annual gift tax exclusion.

Red Flag:
If funds are withdrawn for non-qualified expenses (e.g., buying a car), the EARNINGS PORTION is subject to ordinary income tax PLUS a 10% penalty.

Deep Dive: Coverdell ESAs (CESA)

Definition: A trust or custodial account created for paying qualified education expenses, featuring strict age and contribution limitations.

Rules Dashboard

- Beneficiary must be under age 18 when account is established.
- All funds must be distributed by the time the beneficiary reaches age 30.
- Only one rollover allowed per year.

Absolute Limit:

Absolute limit of $2,000 per year, per child—regardless of how many separate donors contribute to the account.

Exception to the Age 30 Rule:
To avoid forced distribution and taxation at age 30, the owner can change the beneficiary to another qualifying family member before the deadline hits.

Irrevocable Transfers: Custodial Accounts & Trusts

Definition: Legal structures transferring asset ownership to minors, removing the asset from the parent's estate but forfeiting parent control.

The Risk:

The 'Kiddie Tax'. Income generated by these assets is heavily taxed if the child is young.

UGMA/UTMA:	2503(b) Trust:	2503(c) Trust:
Assets become the sole property of the child at the age of majority (18 or 21). No requirement to use funds for education.	Current income trust. Income paid annually. Principal is never forced to be distributed at a specific age.	Principal and income must be distributed to the child by age 21.

Red Flag: A 2503(b) trust ensures principal stays locked up, but choosing high-yield investments will trigger massive annual taxes. Planners must select growth-oriented, non-income-producing assets.

Needs Analysis: The Student Aid Index (SAI)

Definition: The exact formula used to evaluate eligibility criteria and a client's likelihood of qualifying for need-based federal financial aid.

The Variables:

Calculates the income and assets of both the parents AND the children.

High SAI -> Low Financial Need -> Qualifies for PLUS Loans (non-subsidized)

Low SAI -> High Financial Need -> Qualifies for Pell Grants, Work-Study, Subsidized Stafford Loans

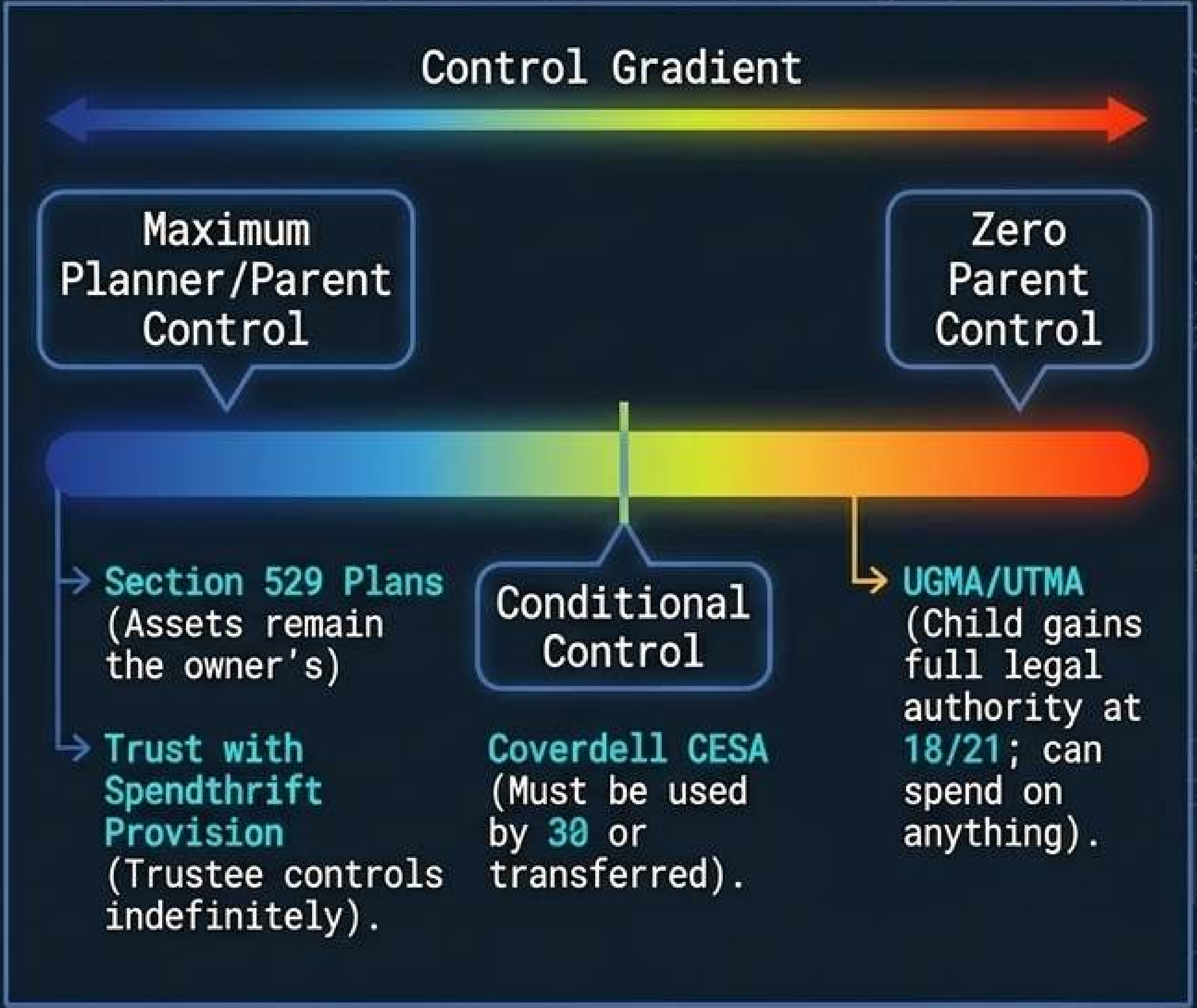
Red Flag: **HUGE testable exception!** Parental home equity and accrued balances in retirement accounts (like 401k/IRA) are completely **EXEMPT** and are **NOT included** in the SAI calculation.

Synthesis: Control of Funds at Age of Majority

Definition: The critical evaluation of who legally owns and directs the accumulated capital when a minor turns 18 or 21.

The Takeaway:

Proper planning isn't just mathematical TVM accuracy; it is selecting the legal client's risk tolerance regarding family dynamics. The age of majority (18 or 21) is a critical transition point for control.



Final Exam Note: Always prioritize the 529 plan if the client prompt expresses fear that the child may decide not to attend college, as the parent retains full right to redirect or reclaim the funds.